Consumer Price Index (CPI)

Consumer Price Index measures the average change in prices paid by ultimate consumers for a particular basket of goods and services over a period of time. CPI actually measures the increase in prices a consumer will have to pay for the designated commodity basket (which may be revised every 45 years to factor in changes in consumption pattern).[2]

Construction of Price Index

Price index is calculated by measuring rise in price of current year over price of base year.

Price Index = Current year's price / Base year's Price × 100

= P1 / P0 × 100

Example:

Take 2004–05 as base year.
Price of rice in 2004–05, ₹2/kg
Price of rice in 2005–06, ₹3/kg
Price of rice in 2006–07, ₹3.50/kg
Price index for 2005–06 = Price of rice in 2005–06/ Price of rice in 2004–05 × 100
= 3/2 × 100
= 150

Price index for 2006–07 = Price of rice in 2006–07/ Price of rice in 2004–05 × 100
= 3.50/2 × 100 = 175

Inflation

Shapiro defines inflation as "persistent and appreciable rise